RESERVE BANK OF INDIA (SYNTHETIC SAMPLE)

FICTIONAL CIRCULAR FOR THE NIYAM DEMONSTRATION · RECEIVED BY ABC BANK LTD (SYNTHETIC)

RBI/2026-27/SYN-031

DOR.CRE.REC.SYN-31/21.01.003/2026-27 October 6, 2026

All Scheduled Commercial Banks (excluding Regional Rural Banks)

Madam / Sir,

Large Exposures Framework: Revised Limits for Private Sector Banks

THIS IS A SYNTHETIC CIRCULAR PREPARED FOR A DEMONSTRATION. IT IS NOT ISSUED BY THE RESERVE BANK OF INDIA.

1. Short title and commencement. These directions shall be called the Large Exposures Framework (Amendment) Directions, 2026 and shall come into force on January 1, 2027.

2. Applicability. These directions shall apply to all Scheduled Commercial Banks in the private sector.

3. Definitions. Exposure shall mean the sum of funded and non-funded credit facilities, and Tier 1 capital shall be reckoned as on March 31 of the previous financial year.

4. Exposure limits.

(a) A bank shall not take an exposure to a single counterparty exceeding 18 per cent of its Tier 1 capital.

(b) A bank shall flag for report any group of connected counterparties with an aggregate exposure exceeding 22 per cent of Tier 1 capital.

(c) The aggregate exposure of a bank to its twenty largest borrowers shall not exceed 52 per cent of its total loans and advances.

5. Board oversight. Any exposure flagged under paragraph 4 shall be placed before the Board of Directors within 30 days, and no internal policy shall permit a group exposure above the limit in paragraph 4(b), including with the approval of the Board.

6. Repeal. Paragraphs 5.2 and 5.3 of MD-SYN-LEF-2025 stand withdrawn for private sector banks from the date these directions come into force.

Yours faithfully,

(Synthetic Signatory)

Chief General Manager (SYNTHETIC)